



Chain reaction: The instability of the top division has coincided with arguably the worst 18 months for the national team.

million. Zee had terminated the contract with AIFF, and at that point, this Master Rights Agreement was done.”

Sources claim that the AIFF, over the years, has received over ₹600 crore from FSDL and ISL directly. Other investments made into the league add up to around ₹5,000 crore.

Despite the alleged investment, many clubs in the ISL have struggled financially.

“When you’re making a loss and there is no support from investors, whether you fall from 300 feet or 40,000 feet, you’re going to die. Despite being in a good financial year, the investments didn’t come through, so the club had to shift to Hyderabad,” says Gaurav Modwel, former CEO of FC Pune City, which went defunct in 2019.

Since the introduction of the ISL, Pune City was the fourth team to shut operations in the city in the space of five years. Three I-League clubs — DSK Shivajians, Bharat FC and Pune FC — have also been dissolved.

“It was difficult to get people to invest at the ISL level. We had advanced discussions with a couple of large partners, but eventually, it came down to the fact that Pune wasn’t a footballing city. There were no home-grown names in football at

that time,” says Modwel.

While Modwel defends the good practices that ISL enforced in Indian football, he feels the poor checks and regulations on the salary cap rule have deteriorated the health of the franchises.

Bloated fees

“One of the main expenses that has shot up is the Indian player fee. The [squad salary cap rule] should have been firmly implemented. Many clubs spoke about how we could control some clubs flaunting this — referred to as the ‘ghost salaries’. Clubs would employ family members of players and pay them separately. The stated policy was to control this, but it wasn’t. The fear was that these are big business houses that want to win, and there was also fan pressure to win. Eventually, every team will succumb to the pressure of spending more to get players in and perform better,” says Modwel.

Close to 60 per cent of a club’s operational costs each season go into paying the fees of players and coaches. Since 2020, the Indian football transfer record has been broken six times — the last four involving the acquisition of Indian players. Bagan’s next reported big-summer signing will likely be a 20-year-old full-back, who has made 34 appearances in the top flight, for ₹2 crore — making it the fourth-most expensive signing.

The biggest beneficiaries of the ISL have been players and coaches, according to a top club official. The inflated player market has also led to

bloated wages. “Indian player salaries have skyrocketed. It’s 8–10 times what they would draw outside of India,” says Modwel.

FC Goa’s CEO Ravi Puskur admitted that clubs need to take responsibility for the state of the current transfer market. “Clubs — mine included — have inflated player salaries irresponsibly. We are outbidding each other for perception, knowing fully well it’s unsustainable. Then we act shocked when these players fall flat on the international stage. We built that illusion,” he posted on X, after the men’s national team’s loss to Hong Kong in the Asian Cup qualifier in June.

State of limbo

As it stands, clubs are in a state of limbo over the future of the ISL. With less than three months to go before the supposed start of the ISL, there is no agreement yet over the new MRA among ISL clubs, FSDL and the AIFF. A club official noted that ISL clubs are wary of the proposed five per cent share of the broadcast rights revenue in the new deal. The new MRA has also cast doubt over the promotion of a new team from the I-League for the next five years, while also advocating for no relegation for another 10 years.

Mohammedan’s struggles to cope with the financial model that comes with promotion to the ISL have been cited as an example to maintain a closed league. “If you compare India’s football pyramid to the UK, it’s almost inverted. In India, the ISL had 13 teams last year. The I-League had 12–13 teams last year. I-League 2 and I-League 3 are just 2–3 months long,” a source said. “FSDL is confident that until the pyramid is fixed, good clubs will not come through promotion into the ISL. It will take time and when it feels confident, it will integrate ISL with the tiers below.”

While the ISL’s play-off system keeps the league competitive, there is no added motivation for bottom-rung teams to avoid the financial disparity that comes with relegation.

Lack of games

The first season of the ISL, which followed the league and play-off